Q: 1

Working 1: Bonus issue:

No of shares	= 400 000 × 2/1	= 800 000 shares
Value of shares	= 800 000 × $0.5	= $400 000

Share premium	$355 000	
General reserves	$38 000	
Profit and loss account	$7 000	
Ordinary share capital		$400 000

Working 2: Rights issue:

No of shares	= (400 000 + 800 000) × 1/3	= 400 000 shares
Value of shares	= 400 000 × $0.5	= $200 000

Bank	$300 000	
Ordinary share capital		$200 000
Share premium		$100 000

ABC Ltd balance sheet as at 30 June 2006

	$	$
Non current assets		500 000
Current assets (165 000 + 300 000)		465 000
		965 000
Share capital and reserves:		
$0.5 ordinary share capital (200 000 + 400 000 + 200 000)	800 000	
Profit and loss account (30 000 – 7 000)	23 000	
Share premium (355 000 – 355 000 + 100 000)	100 000	923 000
Add: Current liabilities		42 000
		965 000

b) A **bonus share** issue is free. For this purpose amount used from the company's reserves therefore the company gets no extra funds.

Right shares issued to existing shareholders based on their existing holding at a price which is usually favorable to the purchaser. It is cheaper than offering to the public

Q: 2

(a) A long-term loan to a company repayable between 2025 and 2026 at a fixed interest rate of 8% per annum

(b) **R Limited**

Statement of changes in equity for the year ended 30 September 2022

	Share Capital $000	Share Premium $000	Revaluation Reserve $000	Retained Earning $000
Balance at 01 Oct 2021	1200	145	40	315
Final dividend paid (2400× 0.06)				(144)
Rights issue (2400×1/4)	300	90		
Bonus issue (3000×1/6)	250	(235)		(15)
Interim dividend (3500 × 0.04)				(140)
Revaluation			(5)	
Profit for the year				87
Balance at 30 Sep 2022	1 750	0	35	103

(c) A proposed dividend should be shown as a note to the accounts but should not be shown as a liability as at the reporting date it has not been approved by the shareholders and as such there is no certainty that it will be paid

(d) Advantages

1. Can be issued instead of paying dividends and so cash flow is not reduced.
2. Keeps existing shareholders satisfied as there is no dilution of ownership.
3. Retains cash in the business for reinvestment.
4. Gives a positive sign to potential shareholders.
5. Enables Company to release its capital reserves.

Disadvantage

1. No cash raised from selling the shares.

Q: 3

(a) Operating profit	44 500
Less: debenture interest (100000× 6%× 4/12)	(2000)
	42 500

(b) Statement of Changes in Equity for the year ended 30 September 2018

	Ordinary Shares	Share premium	Revaluation reserve	Retained earnings
	$	$	$	$
At 1 October 2017	500 000	175 000		540 000
Profit for the year				42 500
Rights issue (2000×2/5)	200 000	120 000		
Bonus issue (2800×3/5)	420 000	(295 000)		(125 000)
Dividends paid (4480×0.05)				(224 000)
Revaluation of buildings			350 000	
At 30 September 2018	1 120 000	0	350 000	233 500

(c) Capital reserves: (Share premium, Revaluation reserve)

- Non distributable
- Cannot be used to pay dividends
- Created via changes in capital structure or non-trading activities

Revenue reserves: (Retained earnings, General reserve)

- Distributable
- Can be used to pay dividends
- Created via trading activities